Communicate Customer Strategy

- **Customer Insights | Consumer Targeting**
- **Spring Summer 2024**
- **Upfront Planning Milestone**

Spring/Summer 2024 Upfront Planning (Jan-June)

	Upfront Planning				Execution
	Board 9/29	Merch offsite 10/3	Partnerships Alignment 10/3 or 10/4	*Financial Planning Round 1*	
Milestones	*9/28*	*10/6*	*10/13*	*11/1*	*11/3 (TBD)*
	Customer Insights Handoff: Foundational Insights	Corporate Strategy Handoff	Merchandising Strategy	Communicate Customer Strategy	Seasonal Strategy
Description	**Cust Insights Team** 1. Prior season results + learnings 2. Customer mindsets, Brand tracking 3. Existing high-level research 4. Marketing headlines	**Exec Team** 1. Exec team shares multi-year plan 2. LRP targets 3. Seasonal direction from Exec Team 4. Q&A with CP leaders	**Merch Leaders** 1. Merch Strategy 2. *Financials handled in AOTB meeting*	**Cust Insights Team** 1. Foundational insights repeated for full audience 2. Supporting insights	**Merch Leaders** 1. Seasonal kick off M2M and product strategy
Who	CPT+ key upfront planning leaders	CPT+ key upfront planning leaders	CPT+ key upfront planning leaders	CCS Attendees	Seasonal Strat Attendees

Contents

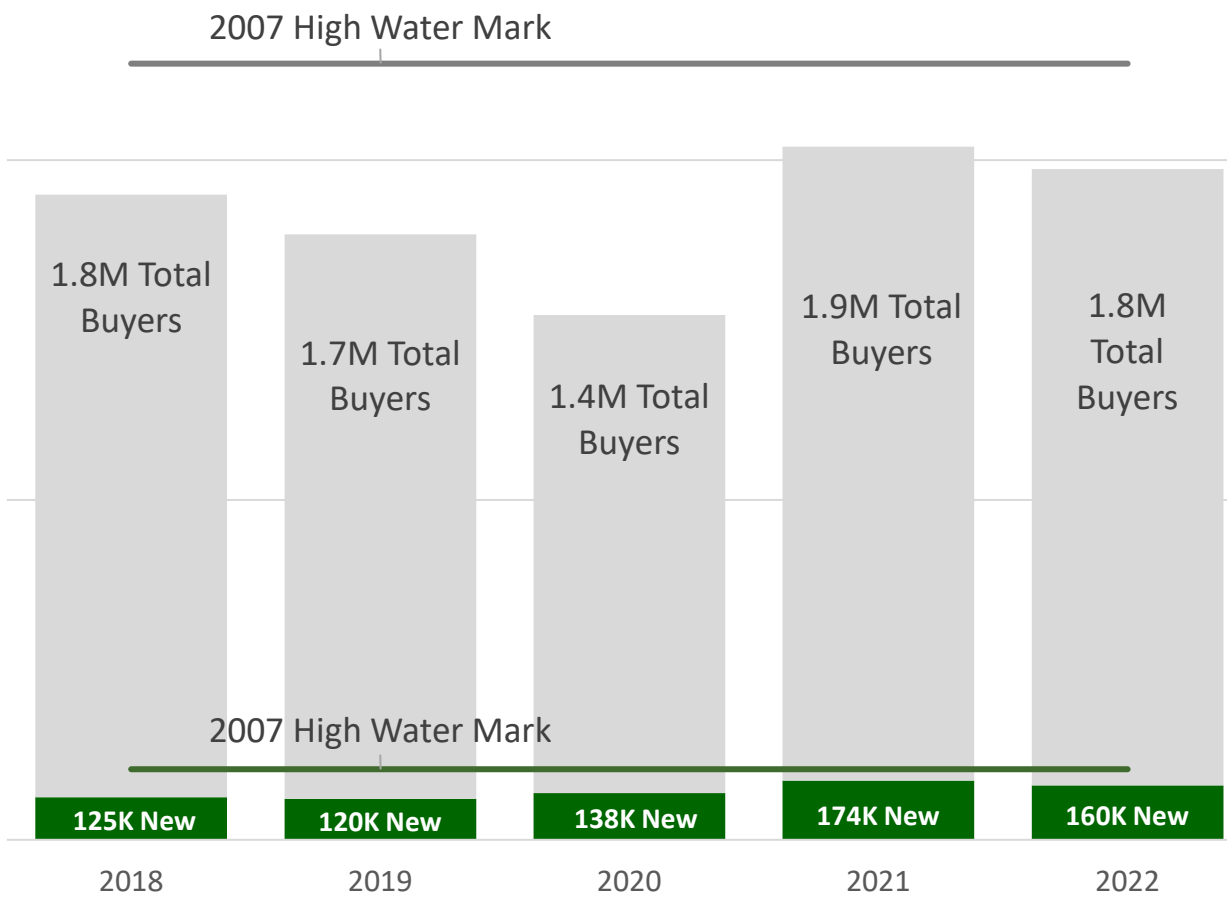
1. Customer dynamics
2. Brand insights
3. Geographic insights
4. Topics for consideration

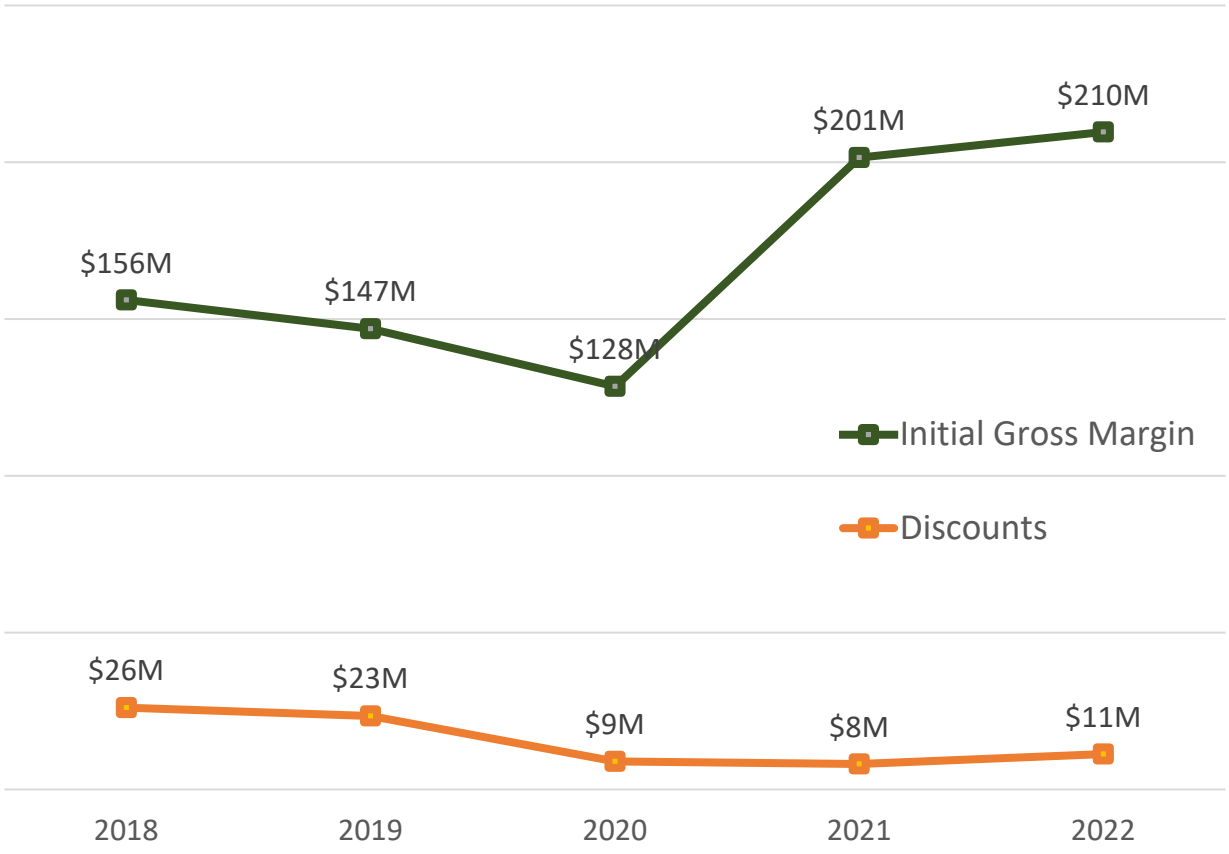
1 Customer dynamics

Margin continues to grow while buyer growth stagnates

Buyer volume trailed 2021, but remained strong compared to other recent years, particularly for New

March-June 2022





Customer Strategy KPIs convey optimism

Digitally Driven Investments track and Promotions LRP enable further targeting and differentiation by goal

Recency	1	2-6	7-49	50+
0-1	Newly Acquired	High Potential Loyal	Loyal	VIP
2-3	Defection Risk	Potential Loyal	High Potential Loyal	Loyal
4-6	Defected	Defection Risk	Defection Risk Loyal	Defection Risk
7+	Defected	Defected	Defected Loyal	Defected Loyal

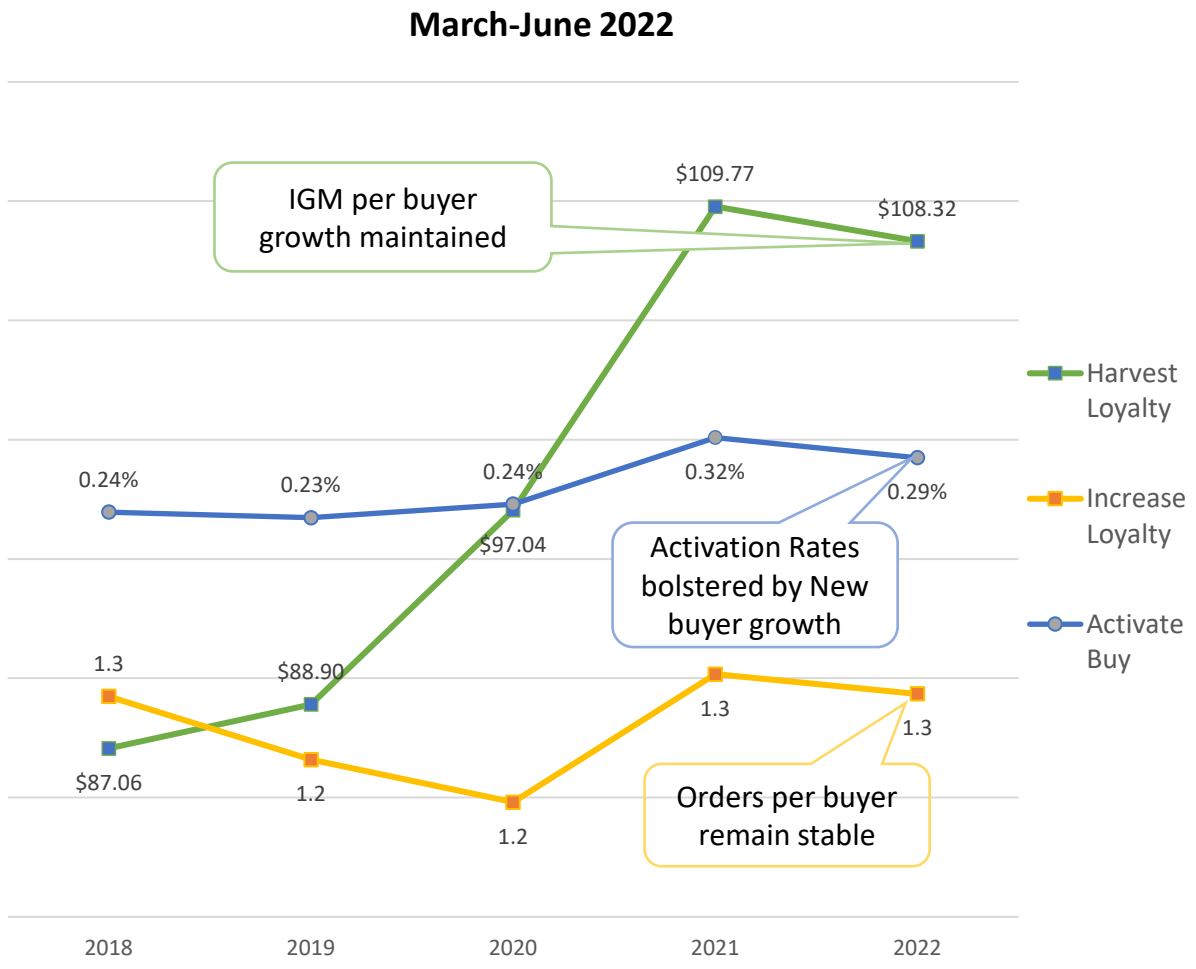
Frequency

New

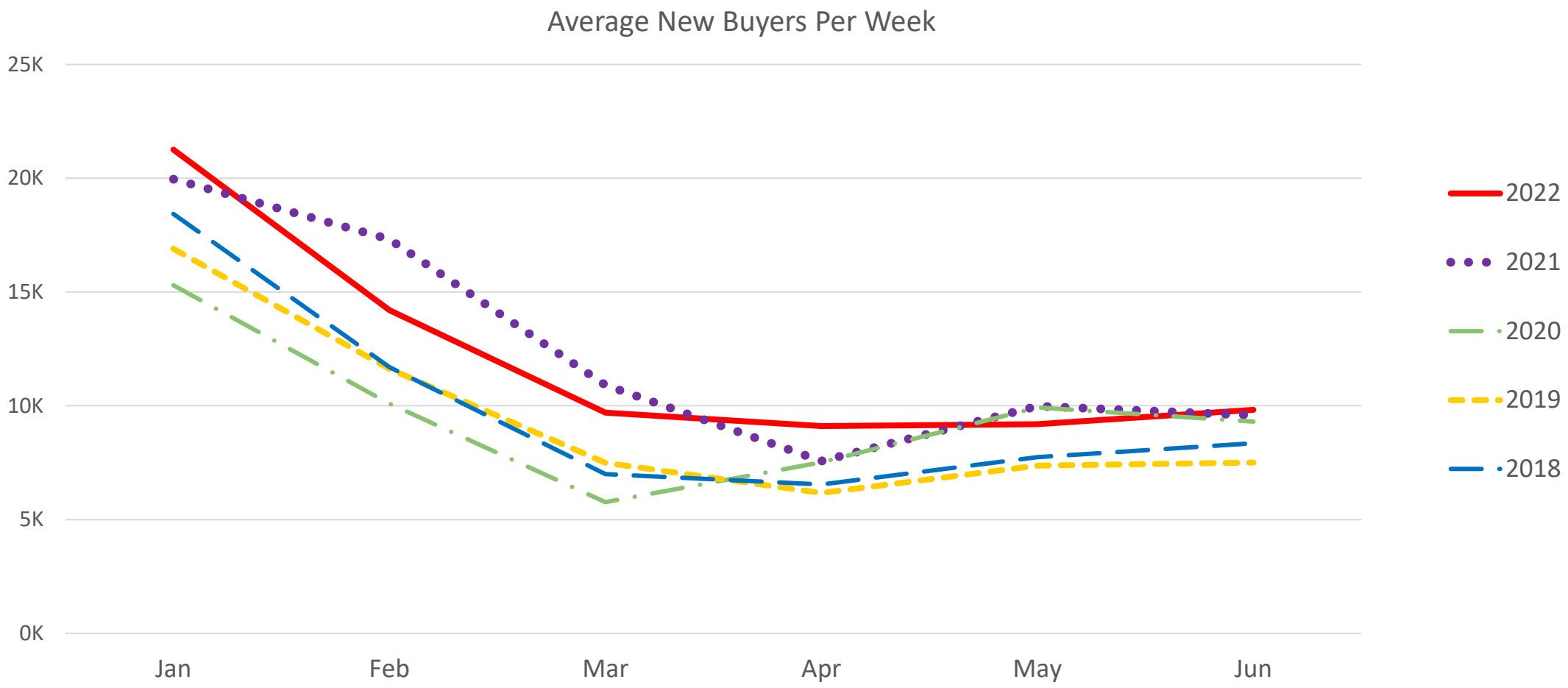
Activate Buy: Customer Strategy is fueled by growth, which relies on acquiring new and reactivating lapsed.
Measure shown: Buyer Activation Rate

Increase Loyalty: Before they become a highly predictable, profitable buyer, we aim to increase their order velocity at crucial moments of their lifecycle.
Measure shown: Orders per Buyer

Harvest Loyalty: Among our very best customers, we aim to drive profitability.
Measure shown: IGM per Buyer

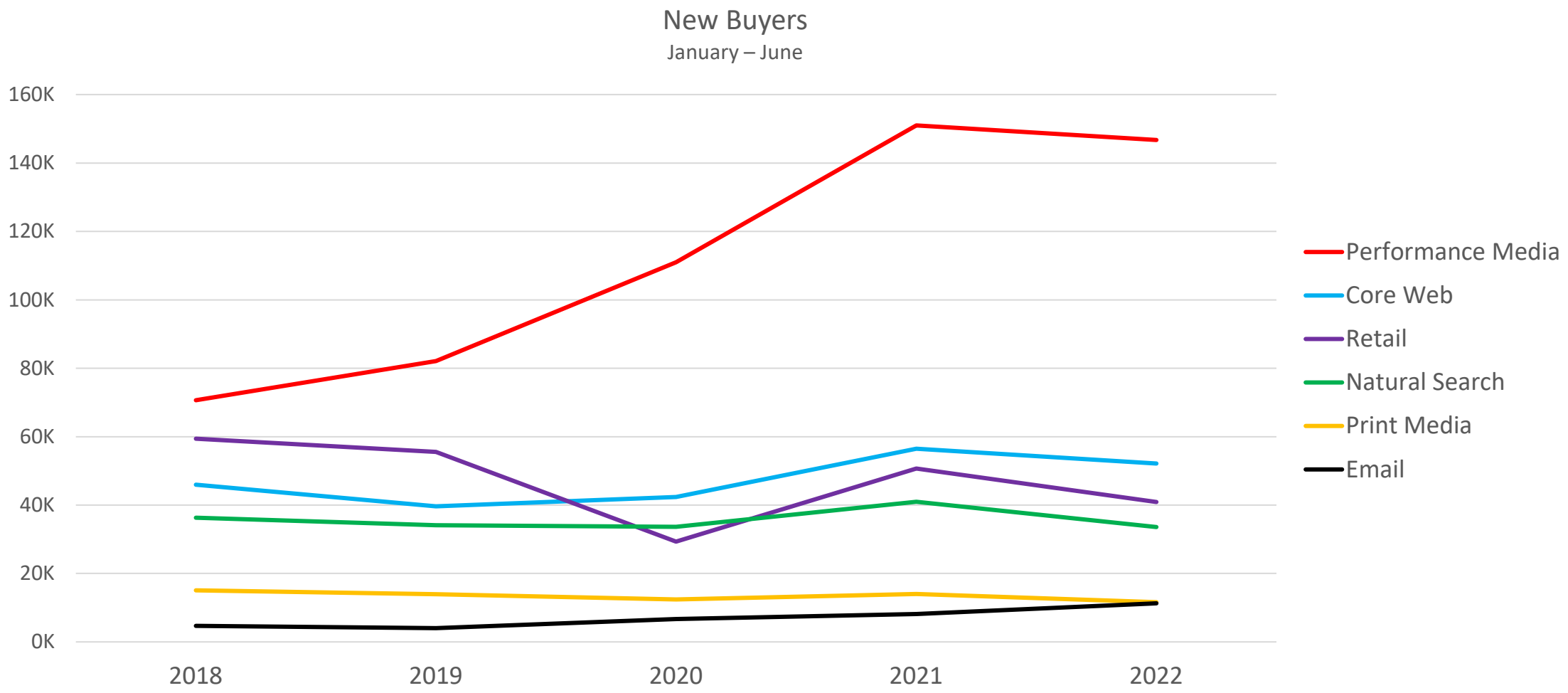


2022 Spring New buyer volume was slightly below LY, yet trended higher compared to historical norms



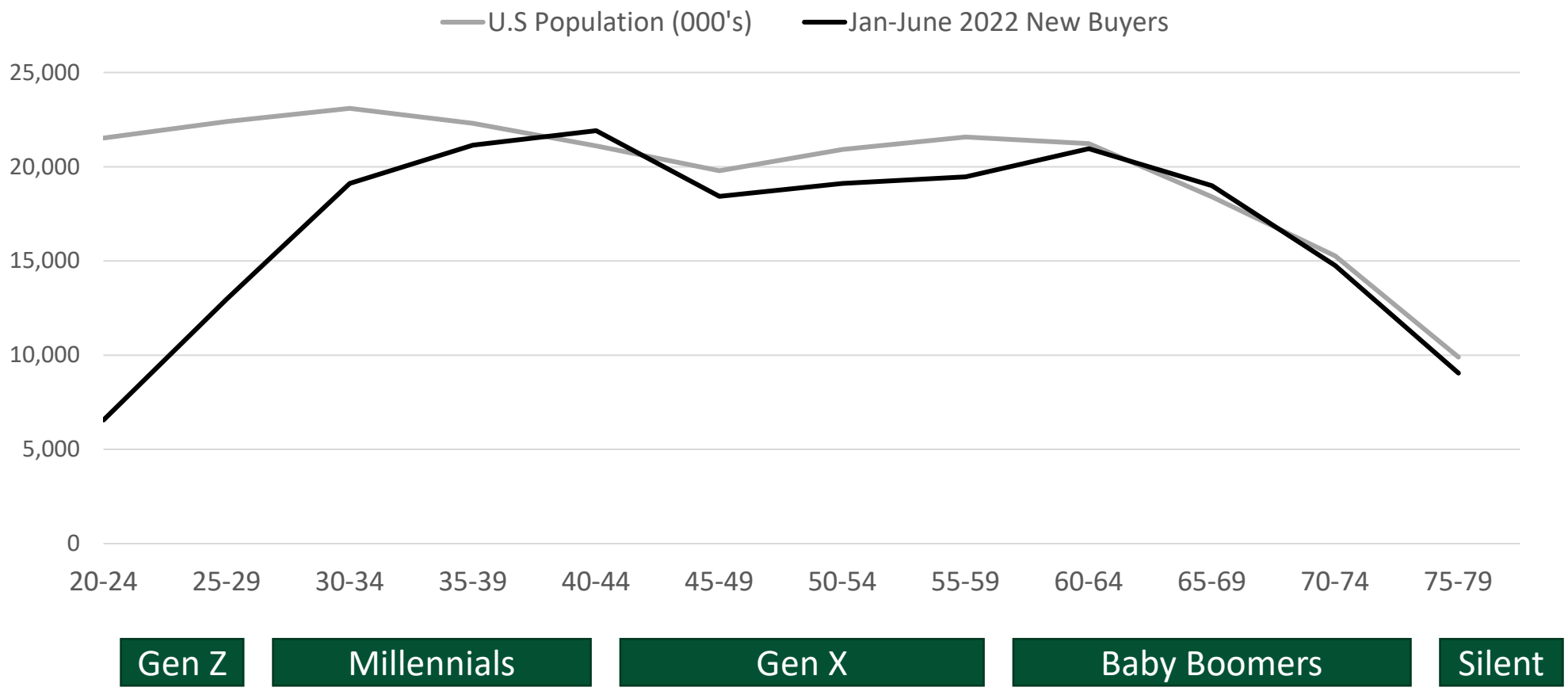
Performance Media remains the top program for New Buyers

All programs declined slightly from 2021, while Email continues to see modest growth



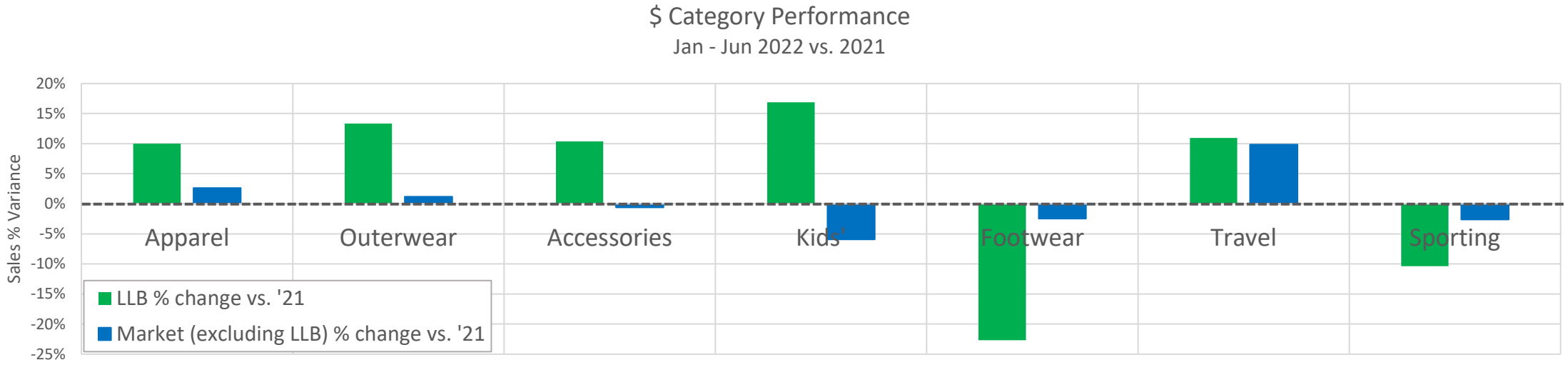
Buyer acquisition mirrors age distribution to a degree

Seeing success across all target age groups, with notable strength in Millennial and Gen X. Average age is 52, +1 year in last 5 years.



Spr/Sum Top Line Performance Compared to the Wholesale Market

1. Apparel, Outerwear and Travel all experienced Net Sales **growth** in the market, while Accessories, Kids, Footwear, and Sporting **declined**
2. LLB **outperformed** the market in Adult Apparel, Adult Outerwear, Accessories, Kids, and Travel
3. LLB **underperformed** relative to the market in Footwear and Sporting



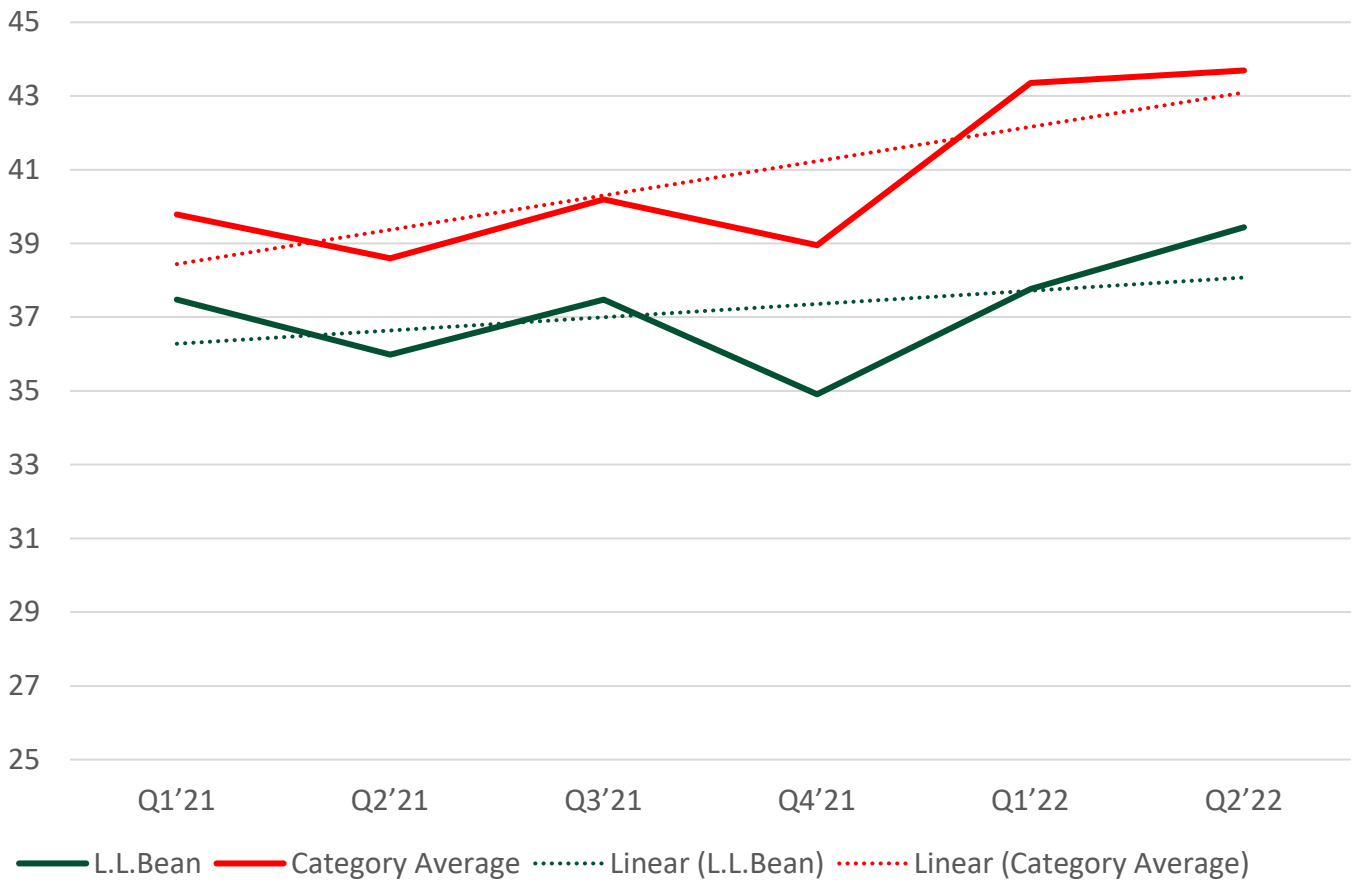
$ Sales	Apparel	Outerwear	Accessories	Kids'	Footwear	Travel	Sporting
LLB '22	$269.4M	$48.6M	$9.5M	$9.0M	$51.0M	$18.1M	$20.1M
Remaining Market '22	$31.6B	$1.5B	$2.1B	$10.3B	$14.5B	$240.8M	$7.2B
LLB Share '22	0.85%	3.20%	0.45%	0.09%	0.35%	7.00%	0.28%
LLB Share '21	0.79%	2.87%	0.41%	0.07%	0.44%	6.94%	0.30%
Bps. Var.	5.6	33.3	4.5	1.7	-9.1	6.4	-2.4

Data Source: NPD Total Measured Market. Source is primarily wholesale.

2 Brand insights

Consideration – trended

Strong growth over the past year within the outdoor category and for L.L.Bean



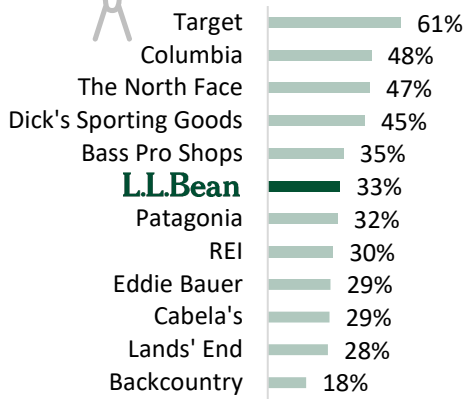
Brand	Q2'21	Q3'21	Q4'21	Q1'22	Q2'22
Columbia	48	49	48	52	**54**
Dick's	44	45	46	53	**54**
TNF	45	46	46	51	**52**
Cabela's	37	39	38	45	**42**
LLBean	36	37	35	38	**39**
REI	36	37	34	38	38
Patagonia	34	36	34	39	36
Lands' End	29	32	31	33	**35**

Source: Kantar Brand Tracking. Consideration based to Aware
##/## = higher/lower than 95% confidence vs previous year

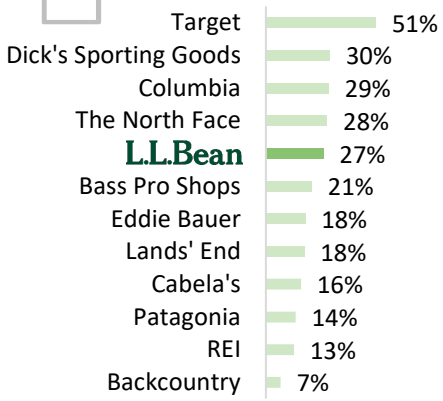
Category consideration

L.L.Bean consideration position relative to the competitive set is strongest in Casual and Footwear; room to capture share in Active, Outerwear and Gear

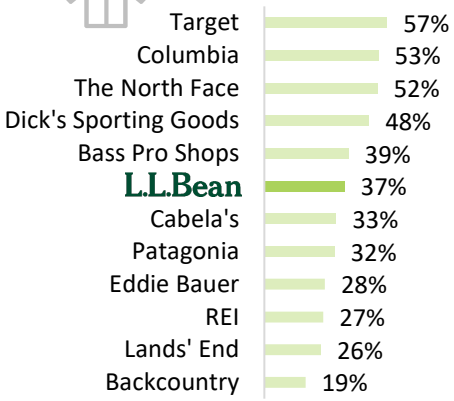
Active Apparel



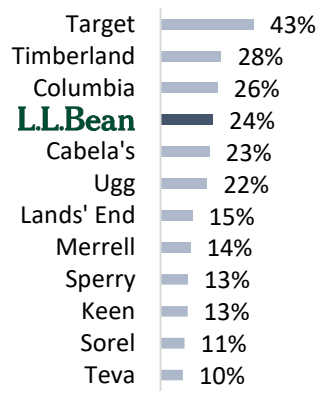
Casual Apparel



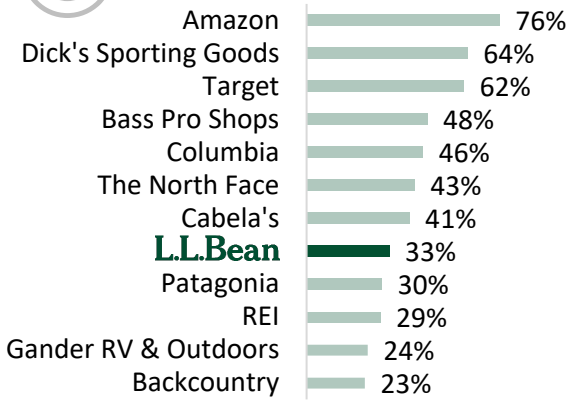
Outerwear



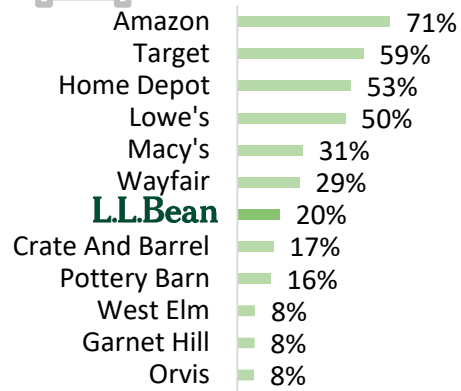
Footwear



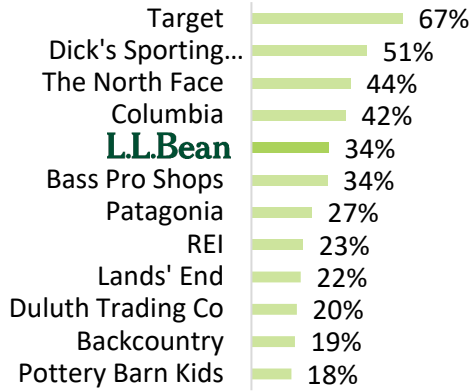
Sporting Equipment / Gear



Home Goods



Backpacks and Bags



Consideration based on Total ##/## = higher/lower than 95% confidence vs previous year (+XX)/(-XX) = difference from last year

Outdoor category dynamics

L.L.Bean's strength in key drivers within the outdoor category and relevant assortment positions us to capture incremental market share

Stated Drivers of consideration within the outdoor category:

REASONS FOR CHOOSING AN OUTDOOR BRAND WHAT'S IMPORTANT & DIFFERENT?

	H	M	L
High quality	248	**285**	**273**
Long-lasting/durable	240	**280**	**287**
Good value	192	**239**	**249**
Makes me ready for the elements	171	189	**196**
Trustworthy	163	173	162

Past year purchase categories % for High, Medium and Low considerers of L.L.Bean:

PAST YEAR PURCHASES	OUTER WEAR	ACCESS-ORIES	BOOTS	FLEECE PULL-OVER	NON-FLANNEL TOPS	PANTS
High	**77**	**59**	**59**	**58**	**57**	**56**
Medium	**75**	44	42	45	49	33
Low	68	42	32	39	29	27

Source: Northstar Research February 2022; Millennial and GenX consumers

Competitive set dynamics – category purchase behavior

L.L.Bean has strength in apparel and footwear relative to the competitive set; opportunity in outerwear / active categories

TYPES OF ITEMS PURCHASED IN THE PAST 2 YEARS
(Among those purchasing from each brand)

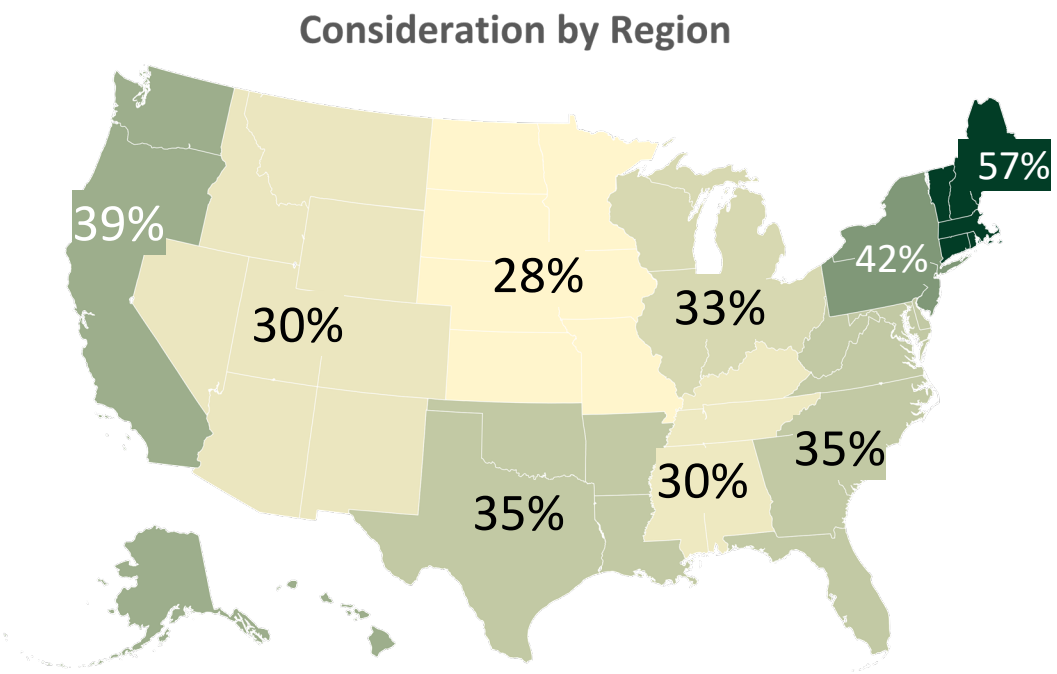
% (top items shown)	L.L.Bean	REI Co-op	Patagonia	Cabelas	Columbia Sportswear	The North Face	Eddie Bauer	Dick's Sporting Goods
Clothing Flannel shirts	31	14	11	14	11	8	17	12
Outerwear Hat / Gloves / Mittens / Scarfs / etc.	26	19	14	24	14	24	15	18
Footwear Boots	26	20	7	19	16	12	15	24
Outerwear Jacket / Coat / Anorak	25	18	42	20	52	60	27	17
Clothing Tops (beyond flannel shirts)	25	16	19	20	20	18	24	20
Clothing Pants	20	12	11	18	13	12	20	18
Fleece pull-over	18	11	21	14	24	21	17	14
Camping or hiking gear	17	23	7	18	6	7	8	16
Outerwear Vest	13	9	14	11	9	12	9	7
Fishing gear	8	8	4	31	6	4	7	15

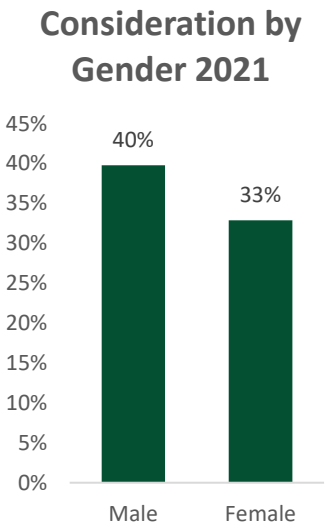
Source: Northstar Research February 2022; Millenial and GenX consumers

3 Geographic insights

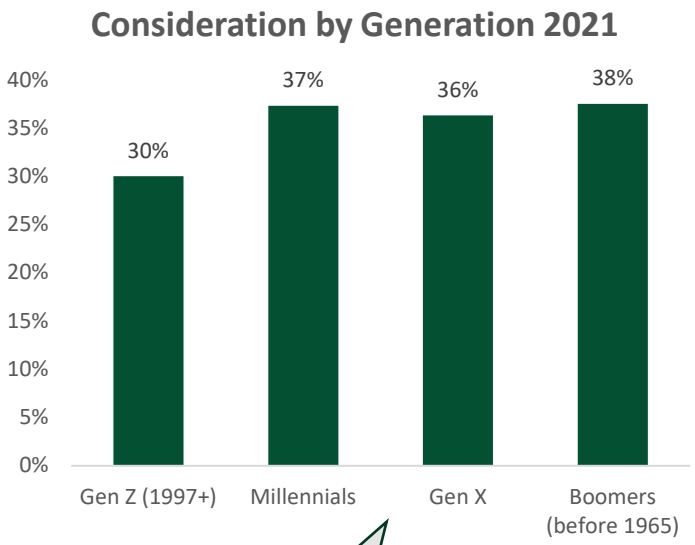
L.L.Bean consideration by demo segments – full year 2021

We have improved Consideration balance across generations; we have opportunity to increase balance by gender and geo





Gender gap has been consistent going back to 2017



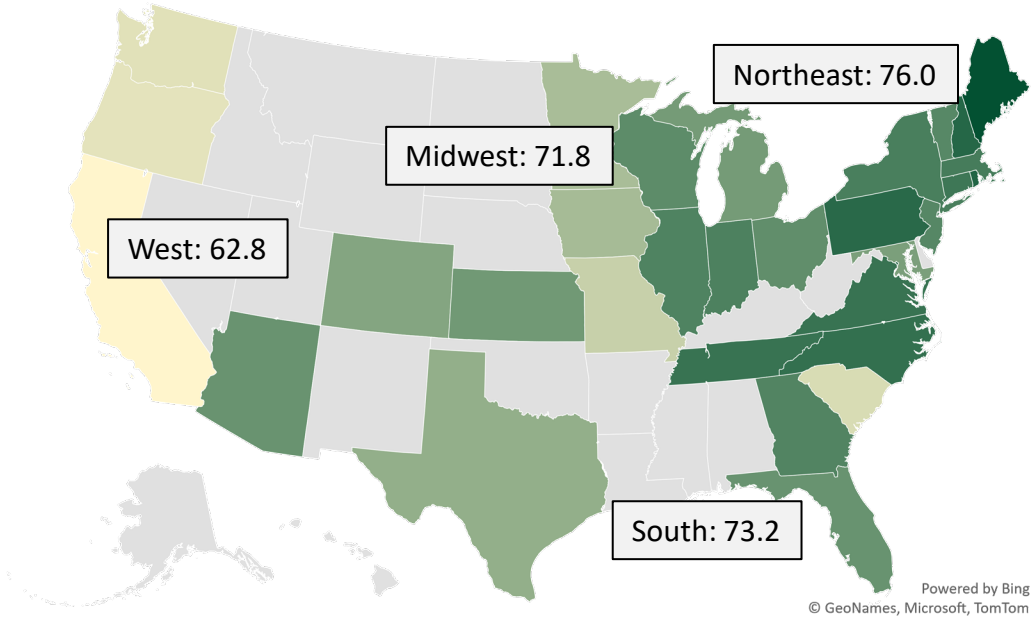
Vs 2019:

- A 7 pt spread between GenZ/Mill and Boomers
- An 8 pt spread between GenX and Boomers

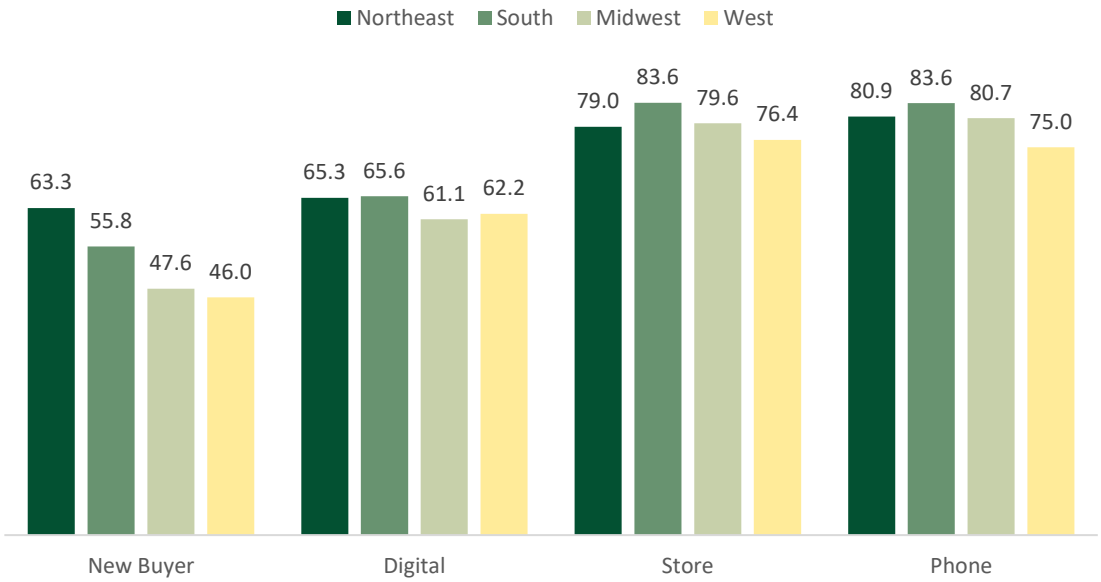
Customer Experience – NPS by region

As we continue to grow our Brand reach, delivering consistent experiences will be important to strengthen loyalty

Omnichannel NPS by State



NPS by Region



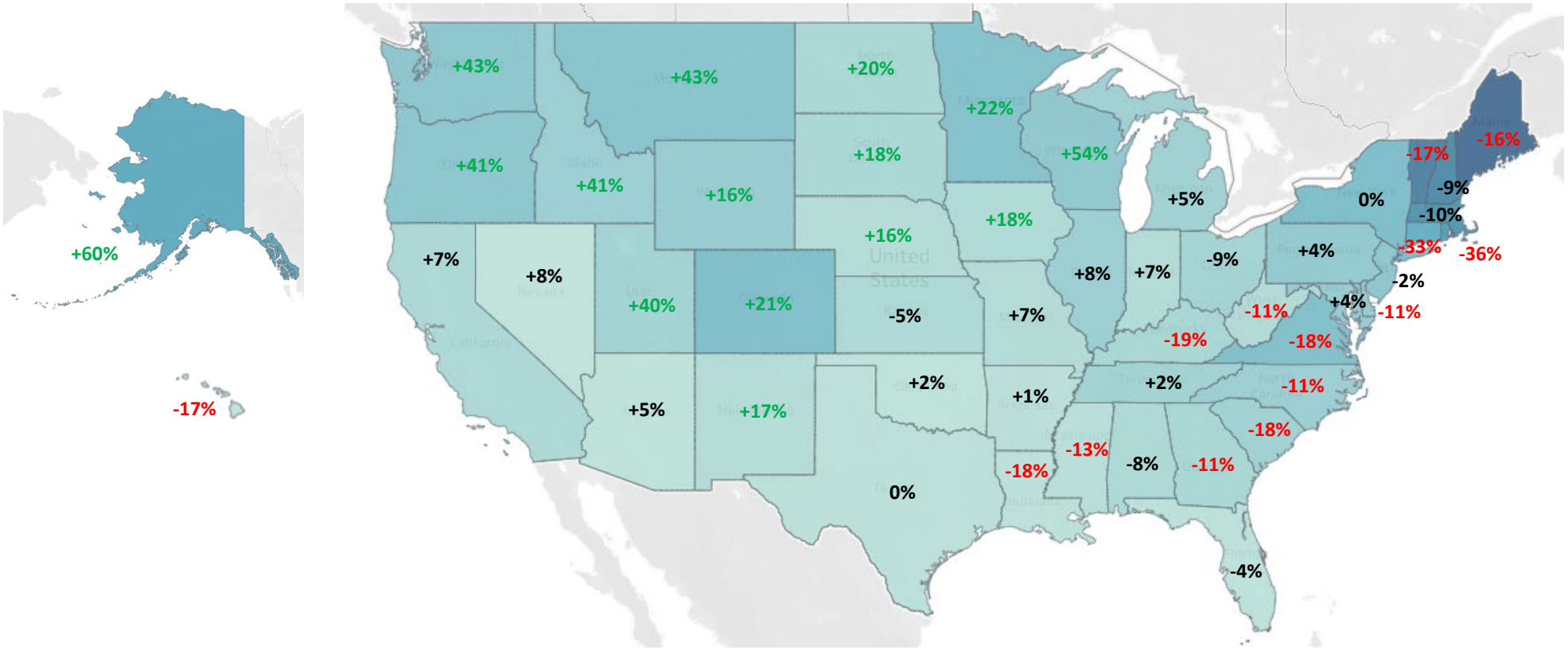
'Timeliness of receiving order' is a key driver of NPS and worsens as customer location moves further from Maine

Source: Post Transaction Survey (2022 Through August)

Geographic opportunity

We're acquiring about the same number of New buyers as we were five years ago, but the geographic distribution is shifting.

2021 New Buyers per Capita and % Volume Growth vs. 2016



Legend:
Greater than +10% growth
-10% to +10% growth
Greater than -10% decline

Darker Shaded Areas Represent Higher % Buyers per Capita

Topics for Consideration

Key Question

What regional strategies should we be considering in our long-range plans to address the geographic dynamics?

Implications

Wholesale
Stores assortment and locations
Logistics
CX enhancements
Personalization
Messaging